

Q2 2026 Earnings Call

Company Participants

- Enrique Barrera, Investor Relations Officer
- Enrique Majos, Chief Executive Officer
- Mario Langarica, Chief Financial Officer

Other Participants

- Andres Soto, Analyst, Santander
- Brian Flores, Analyst, Citi
- Carlos Gomez-Lopez, Analyst, HSBC
- Eric Ito, Analyst, Bradesco
- Ernesto Gabilindo, Analyst, BofA
- Gustavo Araujo, Analyst, UBS
- Pablo Ordonez, Analyst, GBM
- Ricardo Buchpiguel, Analyst, BTG Pactual
- Tito Labarta, Analyst, Goldman Sachs
- Yuri Fernandez, Analyst, JP Morgan

Presentation

Operator

Good morning, and welcome to the Second Quarter 2026 Gentera's Conference Call. Now I would like to turn the call to Mr. Enrique Barrera, Investor Relations Officer of the company. Sir, you may begin.

Enrique Barrera {BIO 23261569 <GO>}

Good day to everyone. Thank you all for joining us and for your continued interest in Gentera. I'm Enrique Barrera, the company's Investor Relations Officer. I'm very pleased to introduce our management team. With us today are Mr. Enrique Majos, Gentera's Chief Executive Officer; Mr. Mario Langarica, Gentera's Chief Financial Officer. Enrique and Mario will present Gentera's results for the second quarter period as per the report that was issued yesterday and will actively participate in the Q&A session of this conference call.

As a reminder, now that we're holding our conference call, we assume it is important to highlight that if you want to ask questions during the Q&A session, this will only be taken if you are connected via Zoom.

Now, please note that during this presentation, Gentera may make forward-looking statements. These do not account for future economic circumstances, industry conditions, company performance, or financial results. Additional information on forward-looking statements can be found in the disclaimer located in our earnings release. If you did not receive a copy of the release or if you have any questions, please do not hesitate to contact our Investor Relations department in Mexico City. If you are a member of the media, we ask you to contact us directly. I would now like to turn the call over to Mr. Enrique Majos for his presentation. Enrique, please go ahead.

Enrique Majos {BIO 16525956 <GO>}

Good morning. Thank you, Enrique, and thank you all for joining us today in our second quarter 2026 Gentera's report. As of the end of the second quarter of this year, we are pleased to once again report solid operating and financial results. These results reflect the successful execution of our business strategy, as well as the efficiencies that we have achieved over the past several years.

Gentera's loan portfolio reached MXN94.6 billion, representing year-over-year growth of more than 13%. Our total customer base in Mexico and Peru reached 6.7 million people served. Likewise, accumulated net income for the first half of the year reached MXN4.8 billion, the highest first-half results in our history, representing 12% in a year-over-year growth.

The modernization and efficiency initiatives we have implemented over the past years have enabled us to keep operating expenses growth below the increase of both loan portfolio and our revenues. And regarding asset quality, our Stage 3 non-performing loans ratio closed the quarter at 4.04%. This level remains within the expected range of our current product mix and represents a slight improvement compared to the first quarter of the year, which was 4.13%. We will continue working diligently to keep delinquency levels under control in both Mexico and Peru.

Our subsidiaries continued to deliver strong growth. ConCredito's loan portfolio increased by nearly 15% year-over-year. Banco Compartamos Peru grew by more than 14% in local currency, while Banco Compartamos Mexico also achieved growth of nearly 14%, despite our decision to slightly slow the piece of the growth in our individual loan product, which by the way, I will elaborate in greater detail in a moment.

Looking ahead to the second half of 2026, our priorities remain very clear. We will continue executing our business plan with discipline, while staying close to our customers. We remain committed to delivering EPS growth between 13% and 16% in 2026. And regarding Gentera's consolidated loan portfolio growth, in this quarter, we will report and revise our full-year growth guidance. These adjustments primarily reflects the slowdown in the consumer economy in Mexico, which could affect our customers' payment capacity.

The adjustments of this guidance is also considering the stabilization of the quality of our individual loan portfolio in Mexico after a long period of sustained growth. Nevertheless, we remain fully committed to keep our leadership position in the market, while continue creating value for our customers and all of our stakeholders.

Now, while recognizing that the quality of our individual loan portfolio in Mexico has been an important topic of discussion over the past quarter. Now we want to in fact address this matter during our first quarter earnings call. We mentioned in the first quarter call that we have acknowledged early signs of portfolio deterioration and the need to implement corrective actions, which we began putting in place during February and March this year.

With that in mind, let me provide additional context on this matter. As you know, the growth of individual loan business over the past several years has been extraordinary. Over the past four years, this portfolio has expanded more than five times, and in 2025 alone, it grew more than 30%. This growth has generated significant benefit for both our customers and Banco Compartamos' financial performance. However, as is typical in the

lending business, periods of rapid growth are naturally followed by a stabilization phase before getting back to growth periods again.

As we have mentioned on several locations, our lending portfolio follows a natural side. We first grow, then we follow a period of stabilization of the portfolio quality, and then we start growing again. Consistent with this approach, during the first -- the past quarter, we have taken the following actions. First, we concluded a compelling assessment of the situation, and we have a clear identification of both internal and external factors behind the portfolio deterioration. Based on that assessment, we developed a clear action plan, and implementation of these actions began at the end of the first quarter of this year.

Today, we are already seeing early signs of stabilization in the quality of this portfolio, and we are very confident that the delinquency levels will return to normal by the end of this year. Addressing these challenges is strengthening both our lending methodology and our operating processes, allowing us to build a stronger product for future growth. Now, at the consolidated level in Genera, after incorporating the impact of these adjustments into our projections, we are revising Genera's loan portfolio growth guidance, and now we expect to close the year with a portfolio growth in the range of 6% to 9%.

The good news is that we are maintaining our EPS growth guidance of 13% to 16%. We expect to achieve this by maintaining our expected growth of our other products and subsidiaries, and together with the efficiencies that we have captured and the strong expense discipline that we have maintained over the past several years. And we both expect ConCredito and Banco Compartamos Peru to continue delivering double-digit growth for this year. Overall, we remain cautiously optimistic while recognizing that the current economic slowdown in Mexico is likely to persist throughout the rest of this year.

Finally, our digital transformation process for the group lending business in Mexico continues to make steady progress. Since group lending is the bank's largest business line, we are taking a disciplined and carefully phased approach to the implementation and scaling of this project. Therefore, over the coming quarters, we will continue refining both our processes and that technology through the controlled rollout of this platform in a couple of regions across the country. We currently expect a full nationwide deployment during 2027.

Well, thank you for your interest in Genera and for joining us today. I will now turn the call over to Mario, who will provide additional details on the financial results. And as always, afterwards, we will be able to take your questions.

Mario Langarica

Thank you, Enrique, and good day to everyone. As always, we appreciate your interest in Genera. As Enrique just mentioned, we are enthusiastic with the financial results that Genera is presenting for the first semester of 2026. Following our strategy and different initiatives that we have implemented in the last years and that we have explained in previous calls. In 2Q26, we reached a new record of 6.79 million people actively using our financial services, adding 657,000 people and growing 10.7% compared to 2Q25. Our loan portfolio amounted to MXN94.6 billion, representing a 13.1% growth compared to the same period of last year. Our three credit subsidiaries show double-digit growth compared to 2Q25 with Banco Compartamos growing 13.8%, Banco Compartamos Peru growing 14.5% in local currency, and ConCredito growing 14.9%.

As Enrique mentioned above, we expect that for year-end, Banco Compartamos Peru and ConCredito will continue growing double-digit and Banco Compartamos Mexico growing single-digits for Gentera's portfolio to grow between 6% to 9% on a year-end-to-year-end basis. Very important to note is that Gentera's average portfolio for the year will be around 10% higher than in 2025.

It is also worth to mention, that our decision to slow down the growth of the portfolio in Banco Compartamos Mexico in the second half result from the result from the adjustments that our credit business requires after high levels of growth following natural cycles and dynamics, as explained by Enrique.

Regarding the evolution of the different lines of our income statement, one, in 2Q26, Gentera's interest income grew 9.8% compared to 2Q25, amounting to MXN12.96 billion following the observed growth in portfolio and clients. And as I just mentioned, and given the fact that the average portfolio for the year will be above 10%, we expect that NII should also grow at the same rate.

Also in the same period, financing expenses decreased 9.9%, mainly driven by the reduction in reference interest rates in Mexico. Therefore, net interest income grew 13.9% to around MXN11.1 billion. NIM amounted to 41.2% in 2Q26. For the first semester of the year, NIM stood at 41.6%. For year-end, we expect NIM to move around 41%. At the consolidated level, Gentera's 2Q26 NPLs amounted to 4.04% compared to 4.13% in the previous quarter. Gentera's cost-of-risk for the first semester amounted to 13.7%. It's important to say that we have seen stabilization trends in these metrics due to the implementation of the different actions to control asset quality that we have deployed, particularly in Banco Compartamos, Mexico, such as reinforcing origination, monitoring and collection processes, adjusting the incentives program, strengthening our sales force, fine-tuning training and targeting strategies as described in our past conference call.

Banco Compartamos, Peru, and ConCredito have shown stable and healthy risk levels. So, for year end and based on the data that we have today, we expect that consolidated NPLs should be moving around 4% and consolidated cost of risk for the year around 13.5%. Gentera's 2Q provision for loan losses amounted to MXN2.43 billion, a 29.7% growth, which is in line with its current asset quality and its loan portfolio mix and growth.

A NIM after provisions for 2Q26 amounted to 28.5%, similar level presented in the previous quarter at 28.8% in 1Q26. We expect this ratio to be between 29% and 30% by the end of the year. Net fees amounted to MXN1.6 billion in 2Q, growing 14.2% compared to 2Q25, mostly driven by the growth of our insurance business.

Operational expenses for 2Q26 amounted to MXN6.19 billion, representing a 7.7% increase compared to 2Q25. The modernization initiatives and investments in technology that we have described in past conference calls have benefited us to allow the adjustment of the operational expenses growth for the year to move around 10%.

After all these effects, net income reached the second-best quarter ever, amounting to MXN2.353 billion in 2Q26, growing 11.6% compared to the same period last year. Gentera's controlling participation of net income in 2Q amounted to MXN2.284 billion, growing 8.5%, implying an EPS of MXN1.45 and around 8.5% above 2Q EPS of the previous year. The net income that Gentera generated in the first six months of '26 was the best result in any other first half of the year ever.

Genera's controlling ROE for 2Q26 stood at 24.5%, in line with our original expectation for the year. And for the full year of '26, we should expect Genera's controlling ROE to move between 24% and 25%. As always, these results have been achieved preserving solid and healthy liquidity, strong and diverse access to funding, and robust capitalization at Genera and its subsidiaries.

Now to conclude my remarks, as you can see, in the first half of the year, we're delivering results as promised. While one of the objectives in the coming months will be to control the asset quality, we expect to comply with double-digit growth in Genera's EPS within the range guided between 13% to 16%.

Finally, we at Genera are very motivated by the fact that we're concluding the semester with solid operational and financial dynamics, servicing millions of clients in Mexico and Peru, supporting them with their different financial needs so they can reach their dreams. And at the same time, keep generating total value for all of our different stakeholders. Thank you. That is all from my remarks. And if you want, we can move to the Q&A session.

Questions And Answers

Operator

Thank you. We'll now be conducting a question-and-answer session. (Operator Instructions) Our first question comes from Yuri Fernandez of JP Morgan. Please go ahead.

Q - Yuri Fernandez {[BIO 17667978](#) <GO>}

Thank you. Hi, Enrique, Mario, Enrique Barrera everybody. Good to see the stabilization of the new NPL formation. But I would like to ask more about growth here, Mario. And less about 2026, and I know maybe a little bit too early, but for 2027, I know for this year, you have all the cost efficiency agenda that you have been delivering. So, keeping the EPS, I think it's a good thing. But for 2027, how do you see the leverage for you to deliver like EPS expansion? Like do you believe you can have better margins because maybe individual will grow less and maybe your margins can expand more? Do you see another year for lower growth? You have higher taxes this year, can taxes help? So just help us to understand, given your end-of-period loan book should be smaller, how to continue to deliver those double-digit EPS for next year? So that's the first question.

And number two, just on dividend payout, I know you just approved the 40%, but anytime we see a company growing a little bit less, that in your case is more like an asset quality control, we then need to debate payout, right? So, if this is maybe this takes longer for you to recover the growth outlook, can we start to see debates around higher dividend payout for Genera? Thank you.

A - Enrique Majos {[BIO 16525956](#) <GO>}

Thank you very much, Yuri. Yeah, well, as we have always said, the market that we serve and the product that we have, we feel very confident that we can deliver a double-digit growth in our portfolio and in our earnings in the medium term. Having said that, obviously, we will be looking very closely to how we finish the year, and we will give you the specific 2027 guidance as soon as we have all of this evidence.

But fixing that objective that we have to deliver double-digit growth in the portfolio and EPS, that is what we remain committed to do. And specifically in the EPS, the first driver will be the growth of interest income that should come from the growth of the portfolio. Then we will be managing interest expenses to make sure that financial margins grow double digit. We will stabilize provisions in order to also keep at the NIM after provisions at double-digit growth, and then, after all the efficiencies and discipline that we have had over several years, keeping positive jaws because we feel comfortable that we will also be able to deliver the EPS growth. And having said that, please just wait until February, so we can give you the exact '27 guidance.

Based on your question about dividends, again, our medium-term objectives don't change. So, when we decided to increase the payout from 40 to 45, that was accounting for, if you want, a medium-term strategy. And even with that equation, we have always said that the first thing that we need to make sure is that we have sufficient capital for organic growth. The second is that we will be looking how we can bring new products on new services to our clients through organic development or potentially inorganic. And then at the end, if we still have capital -- excess capital, the idea would be to distribute it to our shareholders.

But at this point, the objective is that for next year, we will present to our assembly again at our shareholders' meeting the proposal to increase to 45, and that is where we stand at this point.

Q - Yuri Fernandez {BIO 17667978 <GO>}

No, super clear, Mario. If I may, just a follow-up on the growth. Last time we discussed this, I think the message was there were specific regions on asset quality, right, like three, four regions, especially around Mexico City, like maybe a little bit of training regarding the loan officers. And it seems like now that the individual new NPL formation is kind of peaking that maybe things are a little bit more under control. The question is, what is the measure for investors that this will not repeat, because I remember in the past, you're saying like, oh, we have a new underwriting model; we have better technology; the loan officers, they have less power to decide, right? And still, we face some problems. So, whenever you start accelerating again for 2027, what gives you confidence that growth will not be followed by asset quality issues? Thank you.

A - Mario Langerica

Yeah. As Enrique said, we think that even though that the context is more complicated in general, and that we need to be looking at the context in much detail, we believe that part of the things that happened were because of some changes that we did in our processes. And as we said since the last conference call, we have been addressing, and I just mentioned some of the things that we have been doing. So, we feel very comfortable that the things that are under control will allow us to come back to the levels where we felt comfortable.

A - Enrique Majos {BIO 16525956 <GO>}

Yeah, Yuri. And let me give you more detail on this because I'm sure that this will be something that maybe is in the questions of many of you. So let me explain you with a little bit more detail what happened and the current situation in our loan portfolio in general, but specifically also in credit in Mexico.

First of all, we have to say that the reason why we have higher NPLs, and the individual lending portfolio in Mexico are basically in two, let's say, perspective. The first one is internal perspective, and the second one is the external perspective. So let me start by the external perspective. This year, we know that we have had, and since last year, this acceleration of the economic activity in Mexico. Last year was a very good year for us and our customers didn't feel that much that this acceleration. But this year, they started to feel it a little bit more. We have observed that our customers are renewing their loans more cautiously and requesting smaller loan amounts, recognizing a more challenging economic environment. And we see this as a positive sign since it demonstrated our customers are managing their indebtedness responsibly, and likewise, we have always been committed to ensuring that our customers do not become over-leveraged. But for this reason, is that we have revised our loan portfolio in general, and we are guiding 6% to 9%, not only because the individual loan portfolio this acceleration, but also because we see this dynamic in the market.

So, these are the external factors, let's say. Now let me talk you -- tell you about the internal factors that will explain why this is happening and why this should not be happening in the future or how could the future look on this? For the individual loan portfolio in our individual products, throughout the history of the individual loan business, we have experienced several periods of rapid expansion of the portfolio. Actually, I can remind that between 2011 and 2012, our portfolio in the credit grew like three times in these two years. And between 2014 and 2016, it doubled its size also. And in both cases, NPL levels increased to figures similar to those we are experiencing today. In the first case, it grew to 7.9%, and the second case was 5.8%.

And in each instance, we delivered the slow our portfolio growth in order to strength portfolio quality before resuming expansion with this cycle that I explained in which we grow, and then we control. Today, after growing this portfolio approximately five times since 2021, that's the rate of growth that we have had in individual lending now. Since 2021, the portfolio grew five times, our ratio now stands at 6.5%. Consequently, we have decided to moderate the growth while implementing the corrective measures. And we are already beginning to observe signs of a stabilization and expect NPLs level to improve over the -- maybe two next quarters.

So, in summary, following periods of rapid expansion is natural to have -- after we have this rapid expansion, this is natural to have slowdown periods to stabilize the quality of the portfolio. Secondly, we have experienced four consecutive years of strong portfolio growth in credit Individual recently. Then we have successfully managed similar portfolio quality levels in the past and consistently restored portfolio performance before resuming growth. And the good news is that based on our experience, we are already seeing early signs of stabilization and expect clear evidence of recovery over the next two quarters. So that's the general situation, and I hope this will give you a better color of what we are facing now, which is I believe, or I will define it as a natural cycle of our business, and the confidence that we will -- when we are putting our actions in-place and we are looking signs of recovery.

Q - Yuri Fernandez {[BIO 17667978](#) <GO>}

Super clear. Thank you a lot, Enrique and Mario for the answers. Thank you, guys.

A - Enrique Majos {[BIO 16525956](#) <GO>}

Thank you.

Operator

Our next question comes from Tito Labarta of Goldman Sachs. Please go ahead.

Q - Tito Labarta {[BIO 20837559](#) <GO>}

Hi, good morning, Enrique, Mario, and Enrique. Thanks for the call and taking my question. I guess just following up a little bit on credit quality, but also, I guess the provisioning from here, right? Because I think in the past you said cost-of-risk, 13% -- 13.5%, right? You provision a lot more given some of the issues that you're seeing. Should we expect this to moderate already beginning next quarter, or could it take some time just as you sort of get through some of the problem loans? Just to think about the cost of risk evolution and how it should go from here? And then just also following up on the loan growth side of things, right? I know you're feeling a little bit more confident here. But given the sort of short-term slowdown that you're doing, how quickly can you return? I mean, given that some of the issues were because you grew too fast the last several years, would you need to sort of slowdown, sort of for an extended period of time before you're really able to accelerate growth maybe back to the double digits, or do you think it will be much faster than that in terms of your ability to recover growth? Thank you.

A - Mario Langarica

Thank you. Well, regarding the expectations, let me give you the expectations for year end. We expect that NPLs should be around 4%, maybe a little higher, and cost of ratio start coming back to levels around 13.5%, as I said. So, that is for this year. Obviously, and we will be giving updates every year in the future, given the new mix that we will be having where renewable will be taking a higher share of the mix, we would expect that these levels would be growing in a very controlled way going forward. But for the end of the year, we should expect around 4% NPLs and around 13.5% cost-of-risk.

Now regarding loan growth, we think that we have the tools, as Enrique, was mentioned to speed up growth, with the new digitalization tool that we implemented last year, specifically individual lending, we are very, very efficient to be able to answer to the clients very fast, to be able to be more productive. So, I think that we have already the capabilities to accelerate, but we obviously -- and it has been proven because we were able to grow a lot in the last years, as Enrique just explained. But we need to be also very, very prudent using also the control tools that we also have deployed. So, we're really not worried about accelerating growth. We want to accelerate growth with control. But I think we have the tools to do both.

Q - Tito Labarta {[BIO 20837559](#) <GO>}

Okay. Great. That's helpful, Mario. And just to clarify, right, and then I get the 13.5% for the full year, but is it sort of like an immediate improvement, or was just you had a book additional provisions this quarter, or is it more a moderation, right? Because I mean, you had a relatively low-level at 12.8% in 1Q. So just to think like on how that evolves, sort of you sort of gradually get back to 13.5% or is it sort of you had just a bad quarter of provisions this quarter, and you can immediately adjust next quarter?

A - Mario Langarica

No. I mean it obviously has a lag, and again, as mentioned before, and we expect that in two quarters, we're going to be seeing these adjustments where things are normalized.

Q - Tito Labarta {BIO 20837559 <GO>}

Got it. Okay, perfect. Thank you, Mario.

A - Mario Langerica

All right. Thank you, Tito.

Operator

Next question comes from Eric Ito of Bradesco. Please go ahead.

Q - Eric Ito {BIO 22373249 <GO>}

Good morning, Enrique, Mario, and Enrique Barrera. Thank you for the call. I have two questions as well. The first one is regarding OpEx and efficiency. When we look at your initial remarks, Enrique you mentioned, I think you updated the guidance for 2026. Maybe we have slightly higher NIM for this year running around 41%, and then OpEx around 10%, which implies your efficiency ratio for this year is probably better than at in the beginning of the year, as you control operating expenses under this, let's say, more cautious scenario. But then I just like to get your thoughts here for 2027, if we can maybe see continuous improvement in efficiency ratio. I think in the previous call, you mentioned and you announced some rebate programs for the good clients; maybe these are on hold. So I just want to get and pick your brains on on your expectations for for this program and efficiency for 2027.

And then I guess my second question is regarding Peru. I think Peru is developing a very good performance for now. Just that we are starting to hear some concerns with El Nino potentially impacting Peru. So just want to get your thoughts here on how do you see provisionings for Peru and if there could be any impact on your loan growth similar to what we have with Mexico because of these concerns with El Nino. Thank you so much.

A - Mario Langerica

Okay. Regarding efficiency, well, again, we -- I like to say that our objective in medium term is to keep improving the efficiency ratio. And our plans are to bring it below 60% in a couple of years, hopefully. So we are absolutely committed to keep doing that. And again, we have drivers on the top-line that will allow us to grow as we just mentioned. And also we have drivers in the cost side through all of the improvements that we have been doing that should allow us to maintain efficiency. And again, we will maintain this also medium-term permanent rule where our income needs to be growing faster than our expenses, meaning that we will maintain positive jaws, and that are the drivers that will allow us to get efficiency ratios lower.

A - Enrique Barrera {BIO 23261569 <GO>}

Yeah, Eric. And regarding Peru, I can happily say that our results and operations in Peru are running very, very well. In our individual loan portfolio, we continue to grow the strong pace, and we are maintaining solid asset quality. Actually, year-to-year growth in the individual lending in Peru has been 12% with a 3.2% NPLs. And also our group lending portfolio has experienced a growth of 7% with a 3.3% NPL. So we are doing good there. And

yes, Nino is something that we are very aware of, actually, it has been in our conversation, not only in the management but also in our Boards in Mexico and in Peru regarding El Nino in Peru. And yeah, we have provisions considered, and maybe Mario can tell you a little bit more about this, but this is in our forecast also.

Q - Eric Ito {[BIO 22373249 <GO>](#)}

Okay. So it's already -- so just to be clear here. On the provisions for El Nino, you are still - - are you already considering that for the guidance of 13.5%, but you haven't seen anything, let's say, in the first half yet.

A - Mario Langarica

No, we believe that the provisions that we have today, we are covered, we will be reviewing as things go through. We have voluntary provisions in Peru above IFRS provisions that we feel comfortable with. But it's something that we will be continuously looking at. Important to say that all of the weather impacts, we need to see them community by community because the impact that you have, it's not generalized. It's always in each community. So we need to be looking very closely all of our offices both in Mexico and Peru, but we feel comfortable with the provisions that we have today.

Q - Eric Ito {[BIO 22373249 <GO>](#)}

And just to clarify for loan growth, you still maintain your expectations, let's say, to keep this double digit for this year. So for now, no concerns on slowing down.

A - Mario Langarica

Yeah. In Peru, yes, double digit is.

Q - Eric Ito {[BIO 22373249 <GO>](#)}

Yeah. Okay. Perfect. Thank you so much.

Operator

Our next question comes from Ernesto Gabilindo of Bank of America. Please go-ahead.

Q - Ernesto Gabilindo

Thank you. Hi, good morning, Enrique, Mario, and Enrique, and thanks for the opportunity to ask questions. We were a little concerned with the monthly data from the regulator, especially with April, but you were able to meet expectations, and the first half net income is expanding 12%. So the only Mexican financial with that growth. And likely for the next year. So congrats on your results. My first question will be a follow-up to Yuri's question on loan growth. As you mentioned, you now expect loan growth between 6% to 9%, recognizing a tough year-over-year comp in the last quarter of the year, and that you are prioritizing asset quality over loan growth. Having said that, how should we think about loan growth next year? When are you expecting to reaccelerate, and that translating into NII and fee income growth?

And for my second question is, if you can provide more details on which geographies or micro sectors were the most effective in the asset quality of the individual sector. I believe you were nicely expanding this product with the digitalization process. So just

wanted to see also if there were some adjustments in the digitalization process, or how can we more comfortable that you can return again to grow this portfolio? Thank you.

A - Mario Langerica

Okay. Yeah. Well, thank you first. Yes, you're right, we have been delivering a very strong quarter with double-digit growth in earnings. And again, our commitment, as we have said, is to reach the 13% to 16% guide in EPS, and we think that we feel comfortable doing that. And as I mentioned in my remarks, even though that we're saying that the loan growth will be 6% to 9%, it's important to note that it's a year-end to year-end number, or December to December. And remember that December of '25 was a very high-growth quarter. So in order to make the numbers right, it's important to look at the average portfolio for the year. And the average portfolio of the year would be, as I said, around 10% or double-digit.

Having said that, we expect that the interest income will follow more or less that route and with improvement in the interest expenses, we should have double volume growth in the NIM as we said and even after the growth of provisions, we will be able to maintain double-digit growth in the NIM after provisions and through the cost controls that we already said because our objective is to reach the EPS guidance.

Having said that, again, our medium-term objective is to maintain double-digit growth in the portfolio and the earnings. We would like to restore that as soon as possible, but now most important is to do with control. So we really need to see how the next two quarters develop in order to build the full 2027-year plan, and then give you very specific guidance on what we should expect specifically in '27. But our objective is to restore double-digit both in portfolio and in earnings. That's our medium-term goal.

A - Enrique Majos {[BIO 16525956 <GO>](#)}

Ernesto, regarding the individual lending portfolio, let me speak a little bit more in detail about the main factors behind the deterioration because it doesn't have to do that much with geographies. First of all, I think that we have this economic slowdown that is affecting the consumer activity in Mexico, which is general. So that's one of the reasons I already explained. On the other hand, some of the things that we did and that we are now changing after a long period of growth. So first of all, we have to take in account that we come from four or five years of very aggressive growth, in which we hired more loan officers, we trained more loan officers. So that's a challenge itself.

And then we also made some product adjustments to -- with the intention of simplifying the process for loan officers and the experience making a better experience for our clients. And also we implement changes in the incentives models for the loan officers that were directly putting emphasis on the growth. So all of these factors, some of them gave us very good results, and that's why we grew for so long having a very good quality of the portfolio. But in some other cases, we made some mistakes. So, and that's the things that we are taking now.

And so having said that, and I believe this will give you more color of what is causing this, and why this is more like a matter of making adjustments to our processes methodology, et cetera. But while some of these changes prove it beneficial, others didn't deliver the expected results. We have learned from that experience, and we have implemented the necessary corrective actions. And it is worth to emphasize that addressing these

changes is also contributing to make a stronger lending methodology and enabling us to build a more efficient operating process for the future growth.

Q - Ernesto Gabilindo

Excellent. Super helpful. Thank you very much, Enrique and Mario.

A - Mario Langerica

Thank you.

Operator

Our next question comes from Ricardo Buchpiguél with BTG Pactual. Please go ahead.

Q - Ricardo Buchpiguél {BIO 22986646 <GO>}

Hi, everyone, and thanks for the opportunity of making questions. I have a question for growth, but now looking more in the long run, Gentera has been growing at a double-digit pace for -- since 2021, and it's way above the Mexican credit industry. And there has been some volatile moments like we are seeing now, where you are adjusting a little bit throughout the cycle. But in your view, how long can you keep sustaining this double-digit loan growth and doing that without moving towards new markets? And just to get a better sense on the size of the opportunity, if you could comment on what your view for the market share or Compartamos Mexico in your specific segment, which is microfinance?

And for my second question, can you provide more colors on the drivers for the 41% NIM that you indicated in this call? And now that the easing cycle is mostly behind us, not sure if you're embedding some improvement in terms of funding costs of or higher spreads because you are being a little bit more restrictive on the second half. So any color on that would be helpful. Thank you.

A - Mario Langerica

Regarding long-run growth, as we have said, it's -- the most important thing is the addressable market. And as we have always said, we believe -- well, in the segments, the other population in Mexico, there are around 90 million people out of which around 60 million people are adults, and of the remaining 30, many are kids that will join the workforce in the next years. So we serve 6.7 million persons -- well, and in Mexico, 5.7 million people. So as you can see, the addressable market is very large. With the products that we have in Mexico, we think that those -- the segment that they serve still have chance to keep growing at 10%. But going forward in the long run, we have some strategic initiatives that we need to develop in order to be able to have more services to serve a larger share of this big addressable market. So I think that we have a lot of work in the future, and I think that this double-digit growth is something that is achievable.

A - Enrique Majos {BIO 16525956 <GO>}

And Ricardo, let me remind some of the specific data that we have given around market share and market potential in Mexico, as well as in Peru. But here, as Mario was saying, we have a huge market potential. We still have a huge market potential in both countries. In Mexico, if we take the people the 18 years old and elder, from our segment, we are talking about around 50 million people from which 36% have a formal credit, but the rest don't have a formal credit. So we are talking around 30 million people that still

we can serve. And in Peru, that number is also big, we have 14 million people, 18 years old and elder in our segment, and we have -- half of that have a formal credit, but the other half doesn't. So that's why we believe looking forward, we can still grow at double digit for the following years.

And in terms of our market share in Mexico, yes, we are leader there. We have 70% of market share in Mexico in the group lending methodology. But we have 40% in the individual lending methodology. So we still can grow also there. And in Peru, those numbers are we have in the group lending methodology, we were the only players there; now they're coming new players in the group lending methodology, but anyway, we have 70% of the market share. And in the individual lending, we have a stronger microfinance industry in Peru, and we are competing there with several players having 6% of the market share.

A - Enrique Barrera {[BIO 23261569 <GO>](#)}

And regarding the NIMs, I mean, given the fact that the average portfolio has been growing this year double digit, as Mario was describing in his remarks, the interest income that we have been generating is growing at double digit. And also the good reference interest-rate environment that we have in both countries, Mexico and Peru, has allowed us to have a more convenient interest expense line. And that is the fact that the NIMs that we are expecting in Gentera, as Mario was describing is will be moving around 41% before risk and after risk around 29%, 30%.

Q - Ricardo Buchpiguel {[BIO 22986646 <GO>](#)}

That's super helpful. Thank you.

A - Enrique Barrera {[BIO 23261569 <GO>](#)}

Thank you.

Operator

Next question comes from Gustavo Araujo of UBS. Please go ahead.

Q - Gustavo Araujo {[BIO 24380505 <GO>](#)}

Hi, everyone. Enrique, Mario, and Enrique. Congratulations on the results, and thanks for taking my question. So just to understand on Compartamos Peru, we haven't seen the operation delivering always above 25% of the past few quarters. Do you believe this level is sustainable? And what could you consider level of profitability going forward? And second, also in Compartamos Peru, in this quarter, we saw a deterioration on the NPL ratio. Could you get a little bit more color on that? And do you see concerns for the second half of the year?

A - Enrique Barrera {[BIO 23261569 <GO>](#)}

Yeah, sure. Gustavo, let me start with the context in Peru, actually, as I said, we are performing very well in Peru. And let me divide this conversation in individual and group lending. As you know, it was strategic for us to buy the operation in Peru in 2011 because we wanted to one -- to learn from the individual lending methodology and bring it to Mexico, which has been successful. And the second thing is to take the group lending methodology to Peru, and we have grown very, very -- not fast maybe, but very solidly

and in an important way in Peru and group lending. By now, I can tell you that in the group lending methodology, we remain as the leaders and we are starting to see other players to come into the market, which is good because the industry is going to be more complete, let's say, but we are very strong there, and the potential that we have on growing in Peru is still very high in the group lending methodology.

And in the individual lending methodology, we feel very strong too. And actually we are having very good numbers in the individual lending, despite that that's a very competitive environment and industry. And the reason why we feel strong and we are having good results is because we implemented two years ago the digital platform, Kalpa [ph], which allows our loan officers to manage their portfolios through digital technologies. So now we are competing very strongly with the usual suspects that we have there. And that's why we are having very good growth in the individual lending with very good portfolio quality. And well, maybe I will leave Mario to speak a little bit more about the quality of the portfolio.

A - Mario Langerica

Yeah. And even though there has been a little pickup, it's performing better than expected. So maybe just for the year end, we should expect NPLs around 5% or so and cost of risk around 8.8%. So I think that even though it has picked up a little bit, it's below of our original expectations for the year.

Q - Gustavo Araujo {BIO 24380505 <GO>}

Okay. Super clear. Thanks.

A - Mario Langerica

Thanks, Gustavo.

Operator

Our next question comes from Brian Flores of Citi. Please go ahead.

Q - Brian Flores {BIO 16620694 <GO>}

Yeah. Hi, team. Good morning and thank you for the opportunity here. I just wanted to ask you a strategic question just to see if I understand correctly what is happening, right, because think you're undergoing a transformation. And if I understand correctly, we as analysts, we should be comfortable with the trade-off between a structurally higher cost of risk that is being compensated by higher fees, perhaps a more efficient model in terms of OpEx, and that this naturally sustains both higher growth in the mid-term and also above or similar levels to around 24%. I just wanted to check with you if this is making sense or is there anything here that is different to think about?

A - Mario Langerica

You got it perfectly.

A - Enrique Majos {BIO 16525956 <GO>}

We couldn't say it better.

A - Mario Langerica

You're absolutely right. We are evolving, and we have been evolving for a while. But just as you describe it, the idea is with this new mix of products, and with the growth of the different subsidiaries, with the contribution of the different products, because now it's not only the mix of the portfolio, it's a mix of earnings, the mix of the different sources of income, and we're following that route. We will have a different metrics on risk, different metrics on efficiency, and different metrics of growth, but the idea that we maintain as we have already said, double-digit growth in portfolio, double-digit growth in earnings with ROEs above 23%, as we have said, 23%, 24%, and still with a very strong capitalization. So, as you described it, is exactly what we're thinking.

Q - Brian Flores {BIO 16620694 <GO>}

Okay. Thank you very much.

Operator

Our next question comes from Pablo Ordóñez of GBM. Please go ahead.

Q - Pablo Ordóñez {BIO 23001775 <GO>}

Yes. Hi, Enrique, Mario, and Enrique. Thank you for taking my question. I have a couple of questions on growth dynamics first and then a second one in Peru. Enrique, you mentioned that in your remarks, the external and internal factors affecting your products in Mexico. In the external, you mentioned economic weakness. But also I would like to hear your update on the competitive environment from other banks and fintechs. Have your individual clients also been receiving products from other institutions? We have heard some other banks, for instance, like mentioning that they are observing weaker numbers in the credit broad data. That's on individual. And then a second question also in Mexico on group loans. We also observed a weak quarter with sequential contraction in the portfolio. 2025 was also a portfolio that had single-digit growth. So what is the potential for this group portfolio and methodology in Mexico. I'll stop here, and then I'll ask my question on Peru.

A - Enrique Majos {BIO 16525956 <GO>}

Sure. Thank you, Pablo. And let me talk a little bit about competition. So, as we have mentioned in previous discussions, Gentera primarily serves customers seeking working capital and consumer financing. And we are talking about C&D segments. So we have seen a lot of players coming in, most of them fintech company that are not focused on this market and this segment, I mean not this segment, and maybe they are more focused on the consumer lending.

But having said that, we are seeing a broader expansion of credit availability across the market, which is also reaching some of our customers. So -- and these examples include fintechs expanding into the SIS segment like Nu or Mercado Pago or Plata, but we also have in the market government programs designed for small businesses such as Tandas para el Bienestar, which is something that we have always had in Mexico, and we believe that those programs actually helps our customers to maintain their economy.

And we also have these traditional competitors to -- that continue to maintain a strong market presence, including, and I'm speaking about microfinance, but Provident, or Caja

Popular Mexicana, and even Banco Azteca and Banco Opel more on the consumer side. So how are we responding to these? So we continue to grow responsibly while ensuring that our customers not become over-leveraged. So that's our main concern on this side. As we see more competitors getting in, well, our main concern is how can we take care of our customers and be careful not to over-indebt them.

So our strategy is to remain our customers' first payment priority. So and for that, what we do is that we maintain very close to our customers because on this environment in which we see more credit offering, being close to the customers and be the first payment priority is very, very important. So that's what we also do. And we accomplish this by maintaining close relationships through loan officers to this physical presence that, for us is very, very important. But this is precisely why we have decided to moderate our portfolio growth during 2026. So it's an important matter that you put in the table now. And it's a compliment on the explanation that we gave previously. Above all, we are maintaining both -- we are maintaining ourselves close to our customers, having this long-term relationship that we have always sought.

A - Mario Langarica

Yeah. And regarding the second question, it's also our objective to maintain group lending growing double-digit growth. As of this year or as of the first semester, it grew almost 17%, but we expect that for the full year, we will have these same effects that I just explained for the whole portfolio of the Bank in Mexico, and then restoring double-digit growth in also in group lending as soon as possible. Important to say that obviously the growth of individual lending typically is and will be higher than the growth in the group lending portfolio, but we have the same objectives for both products.

Q - Pablo Ordóñez {[BIO 23001775 <GO>](#)}

Thank you, Enrique. Thank you, Mario. And then my question on Peru. So, Yuri already explained the loan dynamics, but on profitability, two consecutive quarters with ROE around 26%. We have seen some improvements in the cost of risk. And so my question here is if we should continue to expect this 25% ROE for Peru for the second half, and in particular, we have observed also that in general, in the Peruvian banking system, there has been some benefit in cost of risk from people taking money out from their pension accounts. Have you seen a benefit -- extraordinary benefit from this impact in Peru, and if we should continue to expect this 25% ROE in the second half?

A - Mario Langarica

Yeah. Well, I think that we should aim to have an ROE above 20%, that's where we are. 25% it was a great period, but I think it should be something between 20% and around 23%, something around 23% should be sustainable. And based on your second question, well, we haven't seen anything particular regarding the pension payments.

Q - Pablo Ordóñez {[BIO 23001775 <GO>](#)}

Okay. Perfect. Thank you very much for the color, Enrique and Mario.

Operator

Our next question comes from Carlos Gomez-Lopez of HSBC. Please go ahead.

Q - Carlos Gomez-Lopez {BIO 18107094 <GO>}

Hello and congratulations on the results. I have two questions. First, I don't think we have talked about ConCredito. That is a part of the business that probably is more linked to the Mexican economy. And we see that although the loan portfolio is going up by 15%, you actually have fewer users. So the loan per client is up 16%. Is that a segment where you think you could be reaching over indebtedness, and what do you expect for it for the rest of the year and into the coming years? Is that a segment that has more or less potential than Banco Compartamos?

Second, if you have this available, could you give us your insurance fees for the quarters? We find them on an annual basis, but I don't think we -- you break them down for the company as a whole for this quarter. I believe it is the entirety of your fee income. Could you confirm that? Thank you.

A - Enrique Majos {BIO 16525956 <GO>}

Thank you, Carlos. Let me talk a little bit more about ConCredito. ConCredito is really performing very well, and as expected, so this 15% that you mentioned is in line with projections. And yeah, actually, we have seen maybe that the portfolio has been taken care very carefully by our management team because what the strategy that we are following is that we want our empresarias which by is our sales channel and distribution channel for the product. We want our empresarias to become more mature. We have seen that as we have more mature empresarias, we have a more efficient business. And now we are looking at the loans that are dispersing this empresarias, which get more mature, are better loans in terms of the quality of the portfolio, but also they are increasing the ticket. So that's the strategy that we are following, and that's why maybe you're looking some different dynamics that what you expected, I don't know. But yeah, in the quality of the portfolio that we are having in ConCredito is also very good. It's in the lower end of the ranges that we define as healthy.

Q - Carlos Gomez-Lopez {BIO 18107094 <GO>}

Okay. So it's in line with your expectations. We are not too concerned about over indebtedness. This is what you want to do with it. You were entrepreneurs to have more loans. And what would you -- what about the final demand? Again, that is in connection with how Mexico is doing. We know we had a slow beginning of the year. Has there been any change in the recent months that suggest higher demand, or the economy is still relatively...

A - Enrique Majos {BIO 16525956 <GO>}

No, yeah, the business is being affected by the slowdown of the economy in general, yes. But on the other hand, as you know, ConCredito's product, the valedero is a purely consumer loan, and consumer loans for us have a very, very high potential, but we are not seeing a restricted demand on that product -- on the contrary, we believe we can grow at the pace we have forecast.

A - Enrique Barrera {BIO 23261569 <GO>}

And to add one example of that is also CrediTienda and the growth we are experiencing in this product line is moving around 27% year-on-year. So some dynamics in ConCredito business. And regarding the insurance business, Carlos, more or less 90% of the fee

income line that is reflected in our P&L comes from the insurance business in the different --

Q - Carlos Gomez-Lopez {BIO 18107094 <GO>}

And that will be 90% of the fee income, which then gets netted out with fee expenses. Is that correct?

A - Enrique Barrera {BIO 23261569 <GO>}

Well, there are different concepts. The fee income comes mostly from insurance, as Enrique said. And fee expenses come mostly from the use of third-party channels. So we -- I mean, the right ways to see them independently no. But when you look at net fees, because they are growing because of the growth of the insurance business and staying stable and even diminishing because of our use of third-party channels.

A - Enrique Majos {BIO 16525956 <GO>}

Sorry, on Page 12 of the press release, we published a graph where you can see how the insurance -- I mean how the fee income is generated and how the fee expenses are paid to these different channels.

Q - Carlos Gomez-Lopez {BIO 18107094 <GO>}

That's right. But that's for Compartamos Banco, that is the Mexico business, right? So I was asking about --

A - Enrique Majos {BIO 16525956 <GO>}

Similar dynamics also in Peru. And ConCredito, the insurance business is not reflected in the fee income line. Is reflected in the other operating and income line.

Q - Carlos Gomez-Lopez {BIO 18107094 <GO>}

Yeah, okay.

A - Enrique Majos {BIO 16525956 <GO>}

We can then go.

Q - Carlos Gomez-Lopez {BIO 18107094 <GO>}

We'll get the question details. Okay. All right. Thank you so much.

A - Enrique Majos {BIO 16525956 <GO>}

Thank you, Carlos.

Operator

Our next question comes from Andres Soto of Santander. Please go ahead.

Q - Andres Soto {BIO 15822388 <GO>}

Good morning, Enrique, Mario, Enrique, thank you for this presentation. My first question is regarding -- I would like to hear your thoughts on the economics of individual lending

versus group lending. In the past, I understood when you compare both, they provided similar levels of ROE, considering that you will have higher cost of risk for our individual lending, but that was partially offset by improved efficiency as you perform less visits to the clients. As you recalibrate your model, how do you expect -- how do you see the economics evolving? Do you require -- based on your assessment, would you require more visits for your customers in the individual lending model? Therefore, efficiency is going to be similar to the group lending, and then you will need to increase interest to compensate for that? Or how do you think in terms of the relative value of each of these segments?

A - Mario Langerica

Yeah Andres, thank you. Well, the P&L equation is basically the same. It doesn't change that much. As you said, number one, first, we start with higher tickets, that's very important to take into consideration. So it's a higher loan in amount. Then rates are typically lower than group lending, then risk is higher than group lending, but then at the expense level, it can be -- if you want more efficiently managed. So both products are very profitable, and independently of the product, we have different drivers and incentives in terms of the variable of the equation that we want to address in certain moments. So for example, we have incentives to grow the portfolio size. We have also incentive when we want to increase the ticket or reduce it. If we see that risk is increasing, we can use incentives to make our sales force focus more on visiting as you say.

So we can use the different operational levers that we have to address the different P&Ls. But upon as you said, rates are typically lower, risk is typically higher, expenses are typically lower relative to the group lending methodology, but profitability is very good in both products.

A - Enrique Majos {[BIO 16525956 <GO>](#)}

And let me talk a little bit about the expectations that we have in the individual portfolio looking forward. I have very interesting numbers around here. So let me share with you some of them. But I already said that we grew like five times in the past four years this portfolio. Four years ago, we were around MXN3 billion in the portfolio. Today, we are around MXN19 billion in the portfolio. And yet we have a market share with that MXN19 billion of a little bit less than 40%. So it's a lot of potential there. I think that we are becoming a very relevant player in that product. And we believe there's still a large market to address there. And I'm talking about specifically working capital loans to small businesses. So that's our individual lending client. And we are sure that after we go through this control phase, after the big role. Now controlling. When we start growing again, we're going to keep on growing on a similar pace. So we are enthusiastic about the product, and we feel it has a lot of potential yet.

Q - Andres Soto {[BIO 15822388 <GO>](#)}

Thank you, Enrique. My second question is regarding your new loan growth guidance for 2026. I would like to understand how much of that is going to be driven by a slower origination, and how much for additional write-offs? We saw significant write-offs for individual lending this quarter. Should we expect this level of write-offs to continue or even increase in the second half of the year?

A - Mario Langarica

I mean, it's mainly driven by the loan growth that we were expecting, and then the full dynamics of the portfolio that we were going to be following. But again, as we said for year end, we will have growth, and we will have an average portfolio that will be higher than last year. And again, as soon as we can, we will restore double-digit growth.

Q - Andres Soto {[BIO 15822388 <GO>](#)}

And specifically on write-offs, do you expect write-offs to increase in the second half of the year?

A - Mario Langarica

Write-offs have obviously the lag. We start with NPLs, then provisions, then we have to follow all the process, and that's why write-offs will continue being higher, but we hope that is stable in the next quarters, until we empty all of the write-offs that we have to empty because of increased risk that we observed in these quarters. And remember that individual lending takes a little longer than group lending.

Q - Andres Soto {[BIO 15822388 <GO>](#)}

Perfect. Thank you very much.

A - Mario Langarica

Okay.

Operator

So there are no further questions at this time. I would like to hand the floor back over to management for closing comments.

A - Enrique Majos {[BIO 16525956 <GO>](#)}

Well, thank you very much all for your attention and your presence here today. As you have heard, we had a good first semester. We presented very good and solid results. We are aware that we are facing challenges and that we see them as part of our business as usual in most of them. On the other hand, we are aware that the local economy in Mexico context is slowing down. So we have to be very aware of that also and take it into consideration. But taking all this in consideration, we are looking, let's say, kind of recovery phase for individual lending looking forward this year. We are looking as a prudent, focused on the growth that we are going to still looking at the other subsidiaries and products, and we believe we're going to have a very good close of the results of this year. We are confident that we -- because we also know that we have very clear diagnosis. We have a plan, we are executing. So, thank you for your trust on this. Thank you for your questions, and see you next quarter.

Operator

With this concludes the conference of today. You may now disconnect.

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